26VECV01930 26VECV01930

County: los-angeles

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Case Number: 26VECV01930 Hearing Date: June 30, 2026 Dept: B

Tentative Ruling

Martinez v. Mercedes-Benz USA, Case no. 26VECV01930

Hearing date June 30, 2026

Defendant MBUSA's Motion to Compel Arbitration

Plaintiff Farshi sues defendants Mercedes-Benz USA, LLC ("MBUSA") and Los Angeles-M, Inc., dba Lithia Keyes European for breaches of the Song-Beverly Act. MBUSA moves to compel arbitration; plaintiff opposes.

MBUSA offers the declaration of counsel Newman. Plaintiff objects. Obj. 1-2 OVERRULED.

MBUSA requests judicial notice of various federal and California state court decisions. See 6/23/26 RJN. GRANTED. Plaintiff requests judicial notice of: (1) Ochoa v. Ford Motor Co. (2023) 89 Cal.App.5th 1324; (2) Kielar v. Hyundai Motor America (Case No. C096773; Superior Court No. S-CV-0048230); and (3) Ngo v. BMW of North America, LLC, et al. (9th Cir. 2022) 23 F.4th 942. GRANTED per Evid. Code §452(d).

California

public policy favors arbitration. Code Civ. Proc. §1280 et seq., Madden v. Kaiser Found. Hosps. (1976) 17 Cal.3d 699, 706. Under California's Arbitration Act, where a valid written agreement to arbitrate exists, arbitration is mandatory. Code Civ. Proc. §1281.2. The opposing party bears the burden of proving any defense to arbitrability. See Pinnacle Museum Tower Ass'n. v. Pinnacle Mkt. Dev. (US), LLC (2012) 55 Cal.4th 223, 236. "[T]he doctrine of unconscionability has both a procedural and substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results." See Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal. 4th 899, 910.

The
Federal Arbitration Act codifies federal policy favoring arbitration, making an arbitration agreement in the Terms of Service "valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract…" 9 U.S.C. §2. "Courts must 'rigorously enforce' arbitration agreements according to their terms…" Am. Exp. Co. v. Italian Colors Rest. (2013) 570 U.S. 228, 233.

Plaintiff
leased a 2024 Mercedes-Benz C-Class AMG C43. Decl. Newman, exh. 2. Page 4 of the lease contains a binding arbitration agreement naming MBUSA as an intended third-party beneficiary. Id. Plaintiff's initials are affixed directly below the arbitration disclosures. Id. The arbitration agreement applies to any dispute arising from or relating to the lease, including warranties. Id. A binding arbitration agreement exists between the parties and covers the issues in this action.

Plaintiff
opposes, arguing MBUSA is not an intended third-party beneficiary under Goonewardene v. ADP (2019) 6 Cal.5th 817, 830. However, the arbitration agreement names MBUSA as an intended third-party beneficiary. See Decl. Ameripur, exh. 2. Per Goonewardene, supra, a party seeking to establish it is a third-party beneficiary to a contract must show: (1) it would benefit from the contract it seeks to enforce; (2) a motivating purpose of the parties was to benefit that third-party beneficiary; and (3) allowing the putative third-party beneficiary to enforce the contract would be consisted with the contract's objectives. Id. at 830.

These

requirements are met: (1) Mercedes-Benz seeks to benefit from the lease agreement by enforcing the arbitration agreement; (2) Mercedes-Benz benefits when a dealership sells or leases a vehicle, and the dealer intended to benefit Mercedes-Benz via the arbitration agreement; and (3) the lease names Mercedes-Benz in the arbitration agreement and is signed by plaintiff, evidencing an intent to allow Mercedes-Benz to enforce the contract. Mercedes-Benz is an intended third-party beneficiary under a Goonewardene analysis.

That

Mercedes-Benz is named in the arbitration agreement indicates an intent to include it in the arbitration agreement. Plaintiff signed directly below the arbitration agreement, confirming he read and agreed, including Mercedes-Benz being a third-party beneficiary. Decl. Newman exh. 2. Mercedes-Benz is a third-party beneficiary with the right to invoke the arbitration agreement.

Plaintiff

argues his Song-Beverly claims do not arise from the lease, but are warranty claims, whereas the lease is a financing deal. The arbitration agreement includes “any claim… which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship… (including any such relationship with [Mercedes-Benz].)” Decl. Newman, exh. 2. Plaintiff’s invocation of warranties is a relationship with defendant arising out of the lease.

Plaintiff

offers no arguments as to unconscionability. A binding arbitration agreement exists, to which MBUSA is an intended third-party beneficiary, and which encompasses plaintiff’s claims. GRANTED; the parties are ordered to binding arbitration per the terms of the arbitration agreement.